ACCOUNTING SUMMARY

1. **Trading concerns: subsidiary journals**
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Trading concerns

Cash Receipts Journal

This is a summary account where we record all the money received

Cash Receipts journal of blue skies for January 2025									
Doc no	Day	Details	Analysis of receipts	Bank	Sales	Trade receivables control	Sundry account		
							Amount	Fol	Details

Explaining the columns that appeared in the cash receipts Journal (CRJ) with specific references

1	Document number	This column contains the number of the duplicate receipts, the cash register roll or the duplicate deposit slip (where the owner deposit money directly into the bank account of the business). For example receipt 101 and CRR (cash register roll) for sales.
2	Day	The day on which the transaction occurs. For example 1, 8, 20, 25 and 31
3	Details	Goods sold for cash (write sales) business is not interested who paid money. Write the name of person when receiving money for any other reason. For example C Hopkin, B Blue and Beauty Hiar.
4	Analysis of receipts	All money received is entered in the analysis of receipts column.
5	Bank	All deposits made in the bank are shown in the bank column. This should agree with the amount on the deposit slips. Money goes to the bank only on the date it is deposited unless otherwise it is not stipulated.
6	Sales	This column is open because several transactions occurred during the month. It should agree with the amount in the deposit slip. Money received for the good sold (sales)
7	Trade receivables control	This column is open because several transaction occurred during the month. money received from trade receivables (after selling inventory or goods on credit)
8	Sundry account	Write down the amount for those accounts for which analysis column have not been opened. (does not have subsidiary journal)
9	Folio	Leave open
10	Details of sundry account	Write down the names of those accounts for which analysis column have not been open. for example capital and Rent income

Example 1: recording money received in the Cash Receipt Journal

CH dealers is a sole trader business that buys and selling groceries

Required

1. Enter the following transactions in the cash receipts of CH Dealers.
2. Close off the CRJ at the end of the month.

January 2025

1 C Hopkins deposited $50 000 in the bank account of the business as his capital contribution. Receipt no 101 was issued to him.

8 Received $2 700 for goods sold according to the total of the cash register roll.

20 Received $750 from B Blue, a trade receivable, in payment of his account. Receipt no 102 was Issued to him

25 Received $5 800 for goods sold according to the total of the cash register roll.

31 Received a cheque from Beauty Hiar for $5 000 for rent for January 2025. Receipt no. 103

Solution

Cash Receipts journal of blue skies for January 2025

Doc no	Day	Details	Analysis of receipts	Bank	Sales	Trade receivables control	Sundry account		
							Amount	Fol	Details
101	1	H Hopkin	50 000	50 000			50 000		Capital
CRR	8	Sales	2 700	2 700	2 700				
102	20	B Blue	750	750		750			
CRR	25	Sales	5 800	5 800	5 800				
103	31	Beauty hair	5 000	5 000			5 000		Rent income
				64 250	8 500	750	55 000		

Cash Payment Journal

This is a summary where we record all the money paid

Cash Payments journal of blue skies for January 2025								
Doc no	Day	Payee	Bank	Trade Payables Control	Purchases	Sundry account		
						Amount	Fol	Details

Explanation of the column in the Cash Payment Journal

1	Document number	This column contain number of source document such as cheque number
2	Day	The day on which the transaction occurs.
3	Payee/Details	Name of a person whom we are paying. It should be the same name on source document.
4	Bank	All money withdrawn from the bank is shown in this column. Enter all payments in the bank column. As well as in one of other columns.
5	wages	These column is opened because several transactions occurred during the month where money is paid for wages or purchases for inventory bought.
6	Purchases	
7	Sundry account amount	Write down the amount for those accounts for which analysis column have not been opened
8	Folio	Leave open
9	Details of sundry account	Write down the names of those accounts for which analysis column have not been open. Example , equipment etc.

Example 2: recording money Paid in the Cash Payments Journal

The following transactions appeared in the books of CH Dealers for January 2025

Required

3. Enter the following transactions in the cash Payments Journal of CH Dealers.
4. Close off the CPJ

January 2025

1 Bought furniture from waltons , paid $1 500 by cheque C01
5 paid P Pink , a trade payable , $750 by cheque C02
7 Drew a cash cheque C03 to pay wages $150
7 Bought inventory from AA Traders , $7 400 , paid by cheque C04
10 Bought a printer from UZBEK Printers $3500, Paid by cheque C05
14 Drew a cash cheque C06 to pay wages , $150
21 Bought inventory from AA Traders , $6 600 paid with credit card .

Solution

Cash Payments journal of blue skies for January 2025

Doc no	Day	Payee	Bank	Wages	Purchases	Sundry account		
						Amount	Fol	Details
C01	1	Waltons	1 500			1 500		Furniture
C02	5	P Pink	750			750		Trade payables control
C03	7	Cash	150	150				
C04	7	AA Traders	7 400		7 400			
C05	10	Uzbek printers	3 500			3 500		Furniture
C06	14	Cash	150	150				
CC	21	AA Traders	6 600		6 600			
			20 050	300	14 000	5 750		

Petty Cash Journal

Similar to the cash payment journal used in business to pay for small items occurred in business

		Petty Cash journal of blue skies for January 2025							
Doc no	Day	Details	Petty cash/total	Wages	Postage	Stationery	Sundry account		
							Amount	Fol	Details

1	Document number	This column contain voucher number for petty cash
2	Day	The day on which the transaction occurs.
3	Payee/Details	Details of what the petty cash was used for or person paid using petty cash.
4	Petty cash / Totals	All money withdrawn for petty shown in this column
5	wages	These column is opened because several transactions occurred during the month where money is paid for wages, postage and stationery
6	Postage	
7	Stationery	
8	Sundry account amount	Write down the amount for those accounts for which analysis column have not been opened
9	Folio	Leave open
10	Details of sundry account	Write down the names of those accounts for which analysis column have not been open. Example , refreshments ,drawings and sundry expenses

Example3 : recording money Paid using the Petty Cash Journal

The following transactions appeared in the books of CH Dealers for January 2025

Required

5. Enter the following transactions in the Petty Cash Journal of CH Dealers.
6. Close off the PCJ

January 2025

4 Bought stamps from petty cash , $145 petty cash voucher no 17

8 Paid for cleaning of pavement petty cash , $100 Petty cash voucher no 18

11 Bought envelopes from petty cash , $45 , petty cash voucher no 19

16 Bought milk and coffee for the office from petty cash , $120 , Petty cash voucher no 20

Solution

		Petty Cash journal of blue skies for January 2025							
Doc no	Day	Details	Petty cash/total	Wages	Postage	Stationery	Sundry account		
							Amount	Fol	Details
17	4	Stamps	145		145				
18	8	Cleaning of pavement	100	100					
19	11	Envelops	45			45			
20	16	Milk and coffee	120				120	Refreshment	
			410	100	145	45	120		

ACTIVITY 1

The following transactions occurred in the books of Choppies Supermarket during July 2020.

1. An amount of R9 790 was given to the chief cashier as an advance. Cheque no. 900 was issued.
2. Commission received from Credo on cake flower sold R5 100. Receipt no. 400.
3. Bought new shelves for the business costing R98 000 from Fieri Design. Issued cheque no. 901.
4. Bought pencils, pens and rulers for Choppies' kids from CNA, R112. Petty cash voucher no. A1.
5. The owner, Choppies, deposited an amount of R249 600 into the business bank account as his capital contribution. Receipt no. 401.
6. Bought 50 boxes of 1 kg hand-wash soap sunlight from Markell Ltd and paid R2 150 per box. Issued cheque no. 902.
7. Paid the salary of the assistant manager, Mr Krisel, R32 720. Cheque no. 903.
8. Paid Dulux R425 for painting the owner's doors. Petty cash voucher no. A2.
9. Bought a new delivery van for the business from Dassin Motors. Cheque no. 904.
10. Withdrew R740 for petty cash. Cheque no. 905.
11. Sent a parcel by PostNet and paid R108. Petty cash voucher no. A3.
12. Cash sales according to the total of the cash register roll, R81 300.
13. Received trading stock for R200 000 from Bela Belay Ltd. Cheque 906.

14. Cash sales according to the total of the cash register roll, R245 800.

15. Received goods from Holman Traders for R260 500. Cheque 907.

16. The owner, Choppies, decided to increase his capital by 25% on the amount deposited on 5 July. Receipt no. 402.

17. An amount of R650 was given to the chief cashier. Cheque no. 908 was issued.

18. A donation was made to the Mandela community, R520. Petty cash voucher no. A4.

19. Cash sales according to the total of the cash register roll, R148 150.

20. The owner bought his son a new PlayStation 5 from Dion Stores, R7 900. Cheque no. 909.

21. Bought 300 cans of cold drink from Coca Cola and paid R7,85 each. Cheque no. 910.

22. Drew cheque no. 911 for cash float, R2 000.

23. A bank statement received from Standard Bank reflected an interest income of R305. Receipt no. 403.

24. Bought petrol from Engen, R3 450. Cheque no. 912.

25. Petty cash voucher no. A5 was required for the owner's house key replacement, R235.

26. Bought stamps for R120 which was for the owner himself, petty cash voucher no. A6.

27. Paid Standard Bank interest of R123. Issued cheque no. 913.

29. A direct deposit of R515 was made by Despina Ltd, a debtor, in settlement of her outstanding balance. Receipt no. 404.

30. The petty cashier received an amount from the chief cashier to restore the imprest. Cheque no. 914.

Additional information:

Money is deposited daily. The owner decided to use the imprest system.

2.1 Enter the transactions in the cash receipts journal. (24)

2.2 Enter the transactions in the cash payments journal. (28)

2.3 Enter the transactions in the petty cash journal (12)

2.4 Close off only the petty cash journal at the end of July 2020 and post to the general ledger account.